

PROJECT 2 | EXPLORATORY DATA ANALYSIS

Optimal Funding Trajectories for Follow-On Investment

A data-driven seed-stage investment thesis built on Crunchbase funding data

Every Startup Begins With a Bet

When a startup is founded, it typically raises a small seed round from angel investors or early-stage VCs to build an initial product and prove traction. The critical moment that follows is whether the company can go on to raise a follow-on round — Series A or later.

For a venture capital firm writing seed checks, correctly identifying which startups are most likely to progress is the difference between a portfolio that compounds in value — and one full of stalled, non-performing investments.

THE FUNNEL

Seed

Small early checks from angels and seed-stage VCs



Follow-On (Series A+)

Signals the company hit real milestones — worth continued investment

This analysis: ~54,000 Crunchbase companies

PROBLEM STATEMENT & GOALS

Most Seed Bets Never Pay Off

A venture capital firm struggles to reliably select seed-stage startups that will eventually secure follow-on funding — resulting in a portfolio of stalled companies. This analysis mines historical funding data to uncover the patterns that separate startups that progress from those that stall, in order to sharpen the firm's \$10M seed-stage investment criteria.

KEY QUESTIONS

- Which industries convert seed capital into follow-on rounds most often?
- Does the size of the seed check itself predict future success?
- Do geography and funding pace matter?

BASELINE TO BEAT

13.4%

of seed-stage startups ever raise a follow-on round

Goal: build data-driven criteria that beat this baseline

Where the Numbers Come From

1

Source

Crunchbase funding data:
company profiles, funding
rounds, and amounts raised.

2

Scope

~54,000 companies
worldwide, across industries,
countries, and funding stages.

3

Cleaning

Removed blank or junk
records and hand-checked
outliers so the numbers hold
up.

4

The Bet

A seed-stage company
“succeeds” here if it later
raises any Series A or beyond.

One honest caveat: this dataset runs through roughly 2014. The patterns are real, but should be checked against more recent funding data before finalizing investment criteria.

Getting the Data Ready to Trust

1

Removed Blanks

Nearly 4,900 empty or duplicate records were dropped before any analysis began.

2

Fixed Broken Values

Funding amounts and dates stored as plain text were converted into real numbers we could analyze.

3

Removed Junk Records

Found and fixed test entries and impossible dates — like funding that predated a company even existing.

4

Kept Only Real Startups

We hand-checked unusual companies and only removed 6 confirmed non-startups — keeping legitimate ones, like early biotech firms.

The result: we went from about 54,300 raw records down to 49,438 clean, verified companies — the trusted foundation for every finding in this deck.

Five Lenses on Follow-On Success

01 **Seed Check Size**
Does the size of the first check predict what comes next?

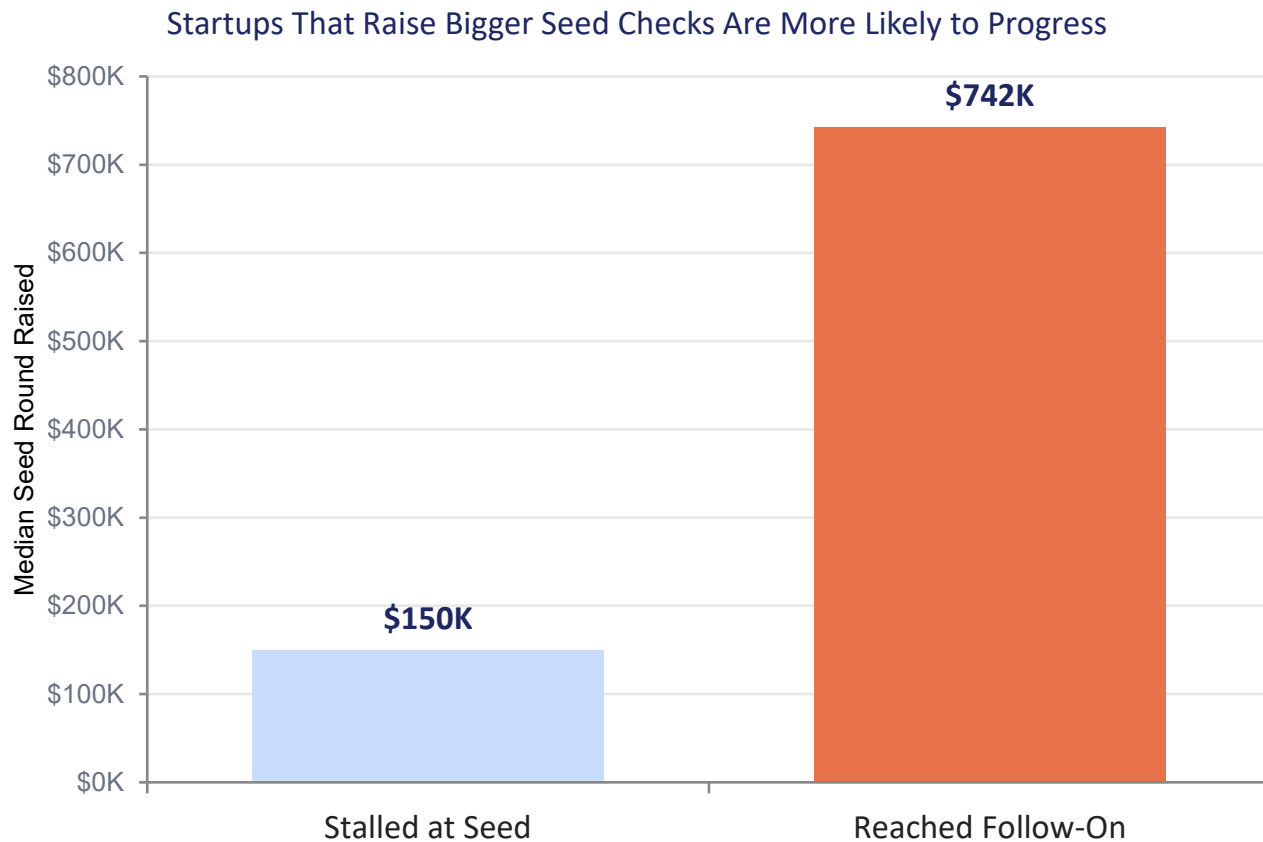
02 **Industry**
Which sectors convert seed money into growth?

03 **Geography**
Where are the strongest follow-on ecosystems?

04 **Funding Pace**
How many rounds, and how much time, does progress take?

05 **Interaction Effects**
How do industry and check size combine?

Bigger Seed Checks, Bigger Odds



\$742K vs \$150K

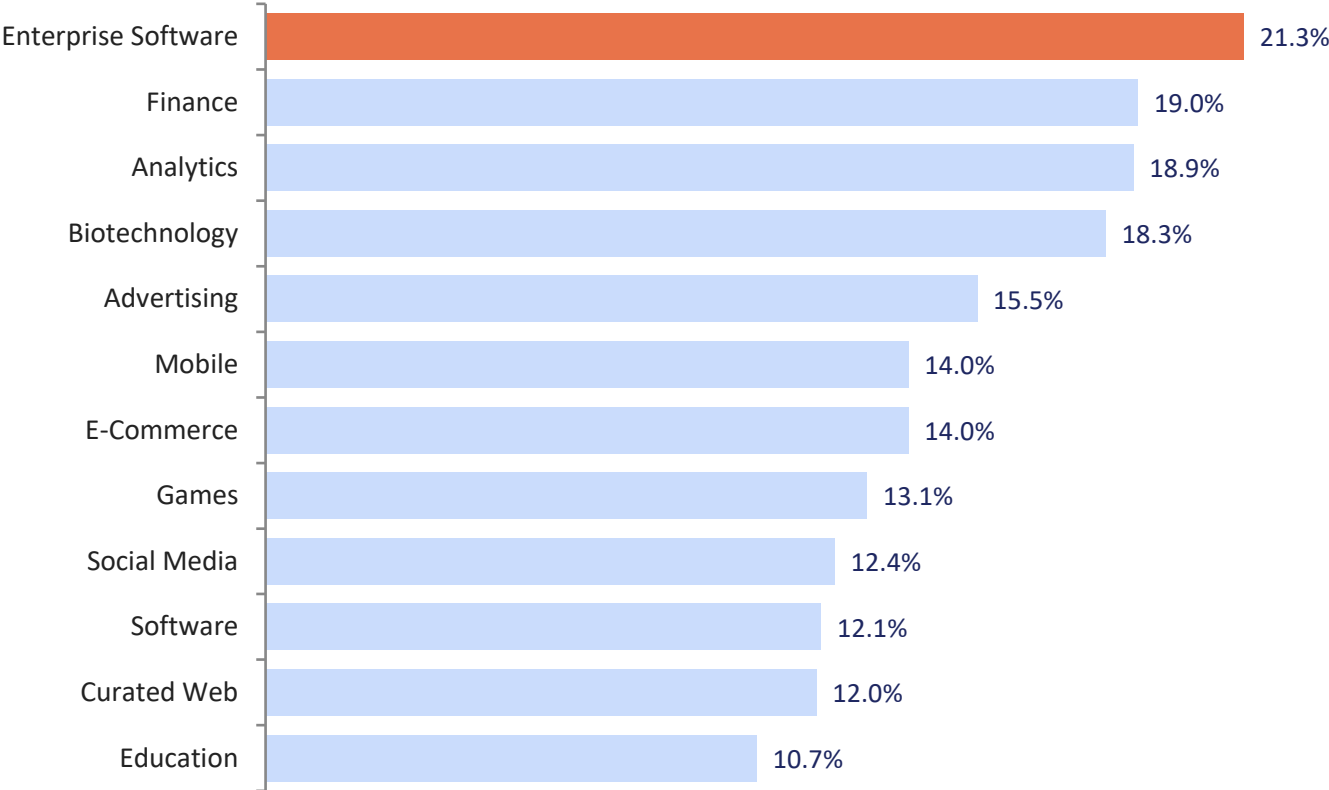
Median seed round for startups that later raised follow-on funding, vs. those that didn't.

Startups that eventually raised a follow-on round started with a seed check nearly 5x larger than those that stalled. That gap is far too large to be chance — the strongest single signal in this analysis.

FINDING 2 OF 4

Not All Industries Are Created Equal

Follow-On Funding Rate by Industry



TOP CONVERTERS

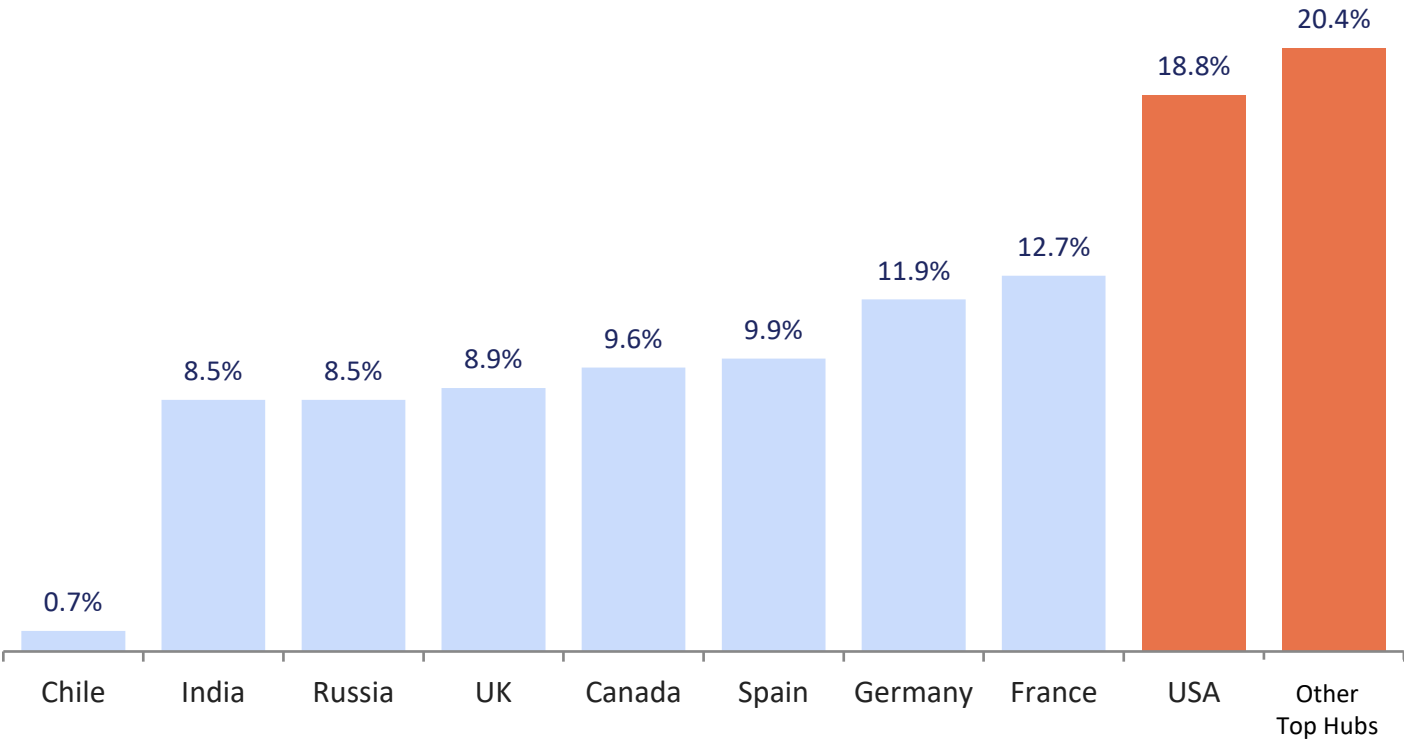
Enterprise Software, Finance, Analytics & Biotech

These sectors turn seed money into follow-on rounds at roughly 1.5–2x the rate of categories like Education or Curated Web — a pattern that holds up consistently across thousands of companies.

This directly informs where the firm's \$10M thesis should concentrate.

Location Shapes the Odds

Follow-On Funding Rate — Top 10 Countries by Volume



20.4%

USA follow-on rate — the highest of any major hub.

The USA (18.8%) and ISR clearly outperform other hubs — likely a sign of deeper, more mature investor networks ready to fund the next round.

Progress Takes Rounds — and Time

Companies that eventually raise a follow-on round don't just raise once and stop. They keep going back to the well.

3 vs 1

Median number of funding rounds raised — companies that reach follow-on funding vs. those that don't.

768 days

Typical gap between a startup's seed round and its most recent round — about 2.1 years. A useful checkpoint for flagging a stalled investment.

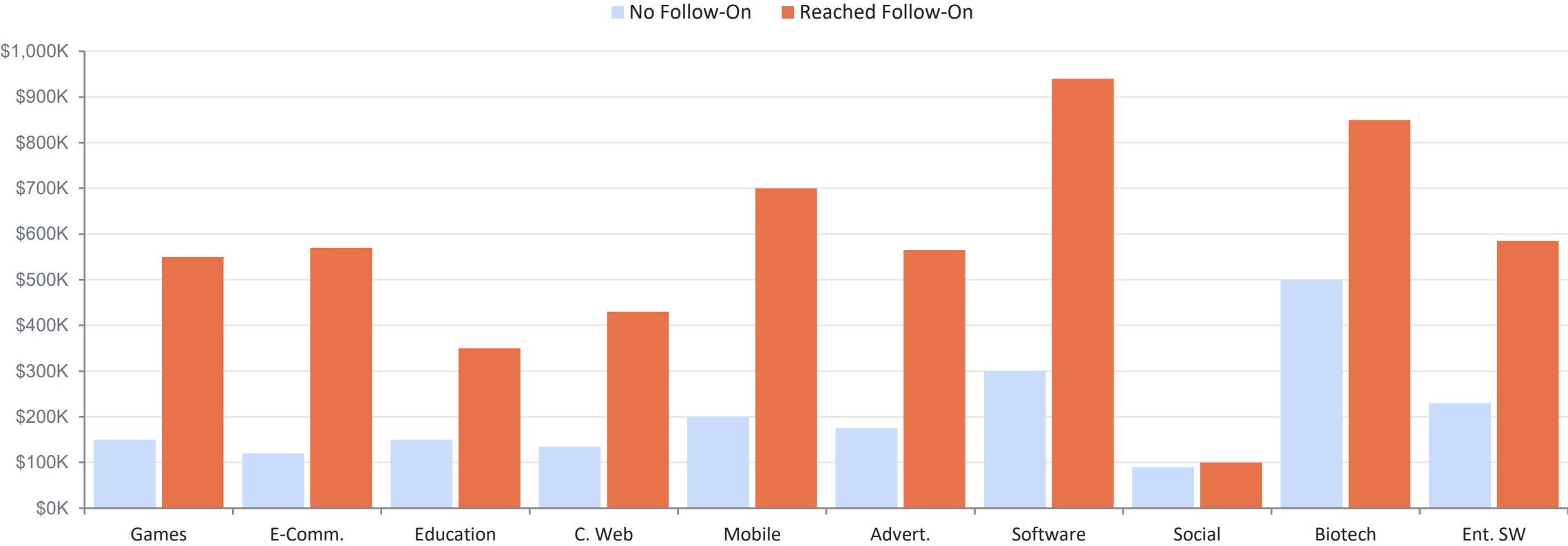
No effect

How fast a startup closes its first round after founding does not predict follow-on success — so don't penalize a slower start.

ZOOMING IN

Check Size Matters Inside Every Industry

The bigger-check pattern isn't just one industry skewing the results — it shows up almost everywhere.



What the Data Told Us

FACTOR	WHAT WE FOUND
Seed check size	Strongest predictor — ~5x larger for companies that progressed
Industry	Enterprise Software, Finance, Analytics & Biotech lead by 1.5–2x
Geography	USA and Israel substantially outperform other hubs
Timeline	~768 days is the typical seed-to-latest-round window
Speed to first funding	No meaningful effect — safe to ignore in criteria

Turning Data Into a \$10M Thesis

- 1 Prioritize Enterprise Software, Finance, Analytics & Biotech startups
- 2 Favor larger seed checks — at or above the ~\$742K historical median for success
- 3 Set an 18–24 month post-seed checkpoint to flag stalled investments early
- 4 Weight USA -based teams more favorably, without excluding others
- 5 Don't penalize a slower first raise — it isn't predictive of what comes next

Next step: this analysis is correlational and the dataset runs through ~2014 — validate against recent funding data, and consider a causal study before finalizing investment criteria.

Thank you